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EDITORIAL

Charting India's Economic Course: Highlights of Union Budget 2024

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To achieve the goal of "Viksit Bharat" 2047, Union Finance Minister Nirmala Sitharaman presented her seventh consecutive Budget in the Lok Sabha today for the financial year 2024-25. It is the first full budget by the BJP-led NDA government since it was re-elected in June. The Finance Minister's allocation of ₹26,000 crore for highway development in Bihar, including the construction of a two-lane bridge over River Ganga and development of highways such as Patna-Purnea Expressway and Buxar-Bhagalpur Expressway, will benefit highway construction sector. Investment-ready plug-and-play industrial parks are to be developed in or near 100 cities. Giving the much-needed boost to MSMEs, Sitharaman said the limit for MUDRA loans for MSMEs has been increased from Rs 10 lakh to Rs 20 lakh for those who have availed the loans before and repaid. Focusing on large-scale perishable clusters near ports and airports for full consumption, she said emphasis will be laid on pharmaceutical R&D and production. e-commerce export hubs will be set up in PPP mode to promote Indian goods globally and to facilitate cross-border trade. Focus on e-commerce hubs will help the D2C ecosystem, including small vendors and aggregators, to bring in efficiency in their operations and improve accessibility to markets, including exports. Seafood export touched all-time high of over Rs 60,000 crore, the Finance Minister said, adding that steps will be taken to adopt technology for digitisation of businesses.

Haigreve Khaitan, Senior Partner, Khaitan & Co

"The abolition of angel tax for all investor classes is a gamechanger for startups looking to meet their funding needs. The announcement of focused schemes to boost employment and skilling for over 4 crore young Indians, along with the direct benefit transfer scheme for those entering the workforce are necessary steps to tackle the rising concerns of unemployment in the country. Specific energy transition strategies and roadmaps across industries is another welcome step, sending a clear message that the government is reiterating its commitment to its ambitious clean energy goals. All in all, we see a growth-oriented budget which has also provided some relief to taxpayers. While the initial market reaction was a bit of a dampener in light of the capital gains tax increase, there are several positive indicators one can take away when looking at the bigger picture."

Indrani Chatterjee, Group Chief Human Resources Officer (Group CHRO) at Allcargo Group

"The budget underlines the government's intent to strengthen one of the key pillars of Viksit Bharat, the human capital through employment, education and skilling. Allocation of Rs 1.48 lakh crore for education and employment and skill paves the way for optimising the human capital and leveraging demographic dividend. The introduction of wage subsidies for the businesses recruiting employees for the first time is a welcome move that promises to invigorate our employment landscape. Moreover, the provision of education loans with interest subvention schemes stands will build a strong future talent pipeline. Announcement of Rs. 3 trillion for programmes supporting women and girls in terms of setting up working women hostels and crèches is a welcome and timely move to enhance women participation in workforce and economic progress."

Ketan Mehta, CFO of CredAble

"We are delighted to see that the Union Budget 2024-25 has addressed many critical facets of the economy. This year, the budget has truly put the spotlight on key issues facing the MSME sector in securing timely credit and has ushered in a plethora of opportunities for young entrepreneurs. The government has proposed a new scheme under the Credit Guarantee schemes for MSMEs in manufacturing, providing MSMEs with collateral-free term loans for buying machinery and equipment. To further strengthen the financial stability of MSMEs, the limit for Mudra loans has been increased from INR 10 lakh to INR 20 lakh. Additionally, E-commerce export hubs will be set up to boost international trade. The government's strategic move to provide internships and new schemes for the country's youth, with a central outlay of INR 2 lakh crore, sums up its futuristic outlook. The Union Budget has been extremely positive in recognising the role being played by MSMEs in India's present and future. It's also encouraging to see the government's move to incentivise existing businesses and abolish the angel tax for all classes of investors, which will further aid the acceleration and globalisation of the startup ecosystem in the country."

Kavita Shirvaikar, Acting Managing Director, Patel Engineering Limited.

"The Union Budget's emphasis on infrastructure development marks a significant leap toward our nation's future. The substantial allocation for capital expenditure and long-term interest-free loans to states reflects a forward-thinking strategy aimed at stimulating economic growth and innovation. Encouraging private sector participation through viability gap funding and market-based financing frameworks will foster a dynamic environment for infrastructure advancements. These initiatives are poised to significantly improve

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infrastructure advancements. These initiatives are poised to significantly improve connectivity, boost productivity, and create numerous job opportunities across various sectors. By prioritizing sustainable development and leveraging both public and private investments, this budget positions India on a robust path to becoming a global leader in infrastructure excellence.”

Piyush Kumar, Industry Expert – LSCM

The 2024 Union Budget of India, presented by Finance Minister Nirmala Sitharaman, has sparked mixed reactions. Sitharaman emphasized that the budget targets the welfare of the poor, women, youth, and farmers. Key highlights include the addition of 3 crore houses under the PM Awas Yojna and a significant capital expenditure outlay of ₹11.11 lakh crore for infrastructure. While the focus on welfare and infrastructure has been praised, some critics argue that the absence of changes to direct and indirect tax rates might not address the immediate needs of the middle class. However, the aim to reduce the fiscal deficit to 5.8% of GDP is seen as a positive step towards fiscal discipline. The budget includes plans to raise spending, create jobs, and provide relief to the middle class, with Rs 2 lakh crore allocated for job creation over the next five years. Sitharaman highlighted the budget’s focus on the middle class, employment, skilling, and MSMEs. New schemes for promoting agriculture and significant investments in road and expressway projects were also announced. The logistics sector saw a positive but moderate alignment with its expectations. Highlights include infrastructure investments and support for technology adoption, though specific measures to significantly reduce logistics costs and extensive support for multi-modal logistics parks were less pronounced. Overall, the budget presented a balanced approach, focusing on long-term

improvements in logistics infrastructure and efficiency, benefiting various sectors and promoting overall economic growth.

JB Singh, Director, MOVIN Express

This year’s Budget is a major step towards supporting employment and skill development, with a strong focus on infrastructure and the growth of MSMEs. The new credit guarantee scheme for MSMEs will simplify access to loans, while the updated assessment model and credit support during tough times will further assist businesses. The creation of twelve new industrial parks will greatly improve infrastructure and boost economic growth. Additionally, the reduction of customs duties on vital minerals like lithium and cobalt will boost the electric vehicle and battery storage sectors. These initiatives have the potential to position India as a global leader and strengthen domestic logistics infrastructure.

Dipen Lalsodagar, Deputy Sales Manager, Global Aviation

“The first budget under the new government is well balanced. While the focus is on infrastructure to develop Viksit Bharat; it also took into consideration the tax reform for salaried as well as corporate class besides focusing on skill development. Reduction in customs duty on precious metals is a welcome move. For Logistics, e-commerce hubs will be set up in India. This is a very good news for the industry which is growing leaps and bounds and is aspiring to achieve target of USD 300 billion by 2030.”

Vivek Juneja, Founder and Managing Director, Varuna Group

“The development of the Industrial Corridor, particularly the Amritsar-Kolkata route, coupled with the sustained emphasis on road connectivity, signals a robust future for the logistics sector. These infrastructure projects are pivotal in fortifying the logistics framework, by reducing inefficiencies. Collectively, these initiatives reflect a comprehensive strategy aimed at bolstering the logistics industry ensuring sustainable growth.”

Rampraveen Swaminathan, Managing Director and CEO of Mahindra Logistics Ltd

“The Union Budget 2024-25 outlines a visionary roadmap for India’s economic growth reflecting a visible multiplier effect on the economy. Prioritizing national infrastructure development with significant allocation of 3.4% of GDP towards capital expenditure and regional equity with ‘Purvodaya’ – an initiative by the government focusing on the eastern region and development of industrial corridors aligns seamlessly with our mission to create a nationwide logistics network. The increased emphasis on road connectivity projects, investment-ready industrial parks, and energy transition initiatives will enhance logistics efficiency, reduce transportation costs, and promote sustainable practices resonating with our commitment to build environmentally responsible supply chains and achieve carbon neutrality by 2040. The focus on Digital Public Infrastructure in e-commerce and logistics presents exciting opportunities for innovation and efficiency gains aligned with our tech enabled and solution driven offerings.

The budget’s balanced approach to infrastructure investment, technological adoption, and sustainable practices lays a strong foundation for India’s emergence as a powerful global logistics hub. At Mahindra Logistics, we are committed to support India’s growth story by building futuristic supply chains that connects India through our pan India, technology driven, integrated logistics network solutions bridging businesses and consumers efficiently as well as sustainably.”

"It is heartening to see that the Union Budget has recognised the infrastructure sector's pivotal role in India's economic growth. The budget's focus on developing the Eastern region, particularly through the establishment of industrial nodes in Gaya and Kolkata, aligns perfectly with our strategic expansion plans. This initiative, coupled with the enhancement of road connectivity projects, will significantly bolster the logistics network, driving efficiency and facilitating seamless operations in the Eastern regions.

The government's commitment to developing investment-ready plug-and-play industrial parks and simplifying FDI rules will further position warehouses as a prime investment asset class. The anticipated inflow of foreign direct investment will support the sector's growth, enhancing India's global competitiveness. Additionally, the reduction in holding periods for units of Business Trusts (BTs) for the applicability of long-term capital gains tax is a move towards aligning REITs/InvITs with equities. This step can provide the relevant depth to REITs/InvITs as an investment segment for varied investor classes.

The budget's emphasis on labour-intensive manufacturing and MSMEs is particularly noteworthy. The comprehensive package covering financing, regulatory changes, and technology support will empower our labour force, especially in Tier-2 and Tier-3 cities. Additionally, the announcement of e-commerce export hubs under a seamless regulatory and logistic framework is a game-changer. However, recognizing warehousing as an industry class and promoting sustainable practices would have provided more comprehensive support. Land reforms are essential for streamlining land deals and acquisitions, which are critical for developing large-scale warehousing facilities. Uniform land acquisition norms across states and simplified warehousing compliance processes would further catalyze the sector's growth. Overall, the Budget lays a strong foundation for a resilient, sustainable, and globally competitive industrial ecosystem in India."

Nitin Aggarwal, CEO, TVS Infrastructure Investment Manager Private Limited.

"The Indian economy is currently a magnet for high capital inflows and foreign direct investment owing to its consistent economic growth and extraordinary resilience to global volatilities and challenges. The reduction of corporate tax rate on foreign owned and controlled companies along with simplified FDI will promote investments from foreign institutional investors. India's rapidly expanding warehousing industry is set to attract significant foreign direct investment, promising substantial returns for investors and establishing the country as a highly profitable market. Additionally setting up of 100 infra nodes coupled with increased FDI will boost 'Make in India' resulting in leap in demand for industrial warehouses across locations.

The town planning schemes, the National Corridor Development Program underway, and a strong focus on infrastructure development will catalyse the growth of the entire supply chain industry. The focus on industrial parks will help reduce challenges like land acquisition, financing gaps and restrictive regulations to help seize the potential of key upcoming markets. Moreover, export hubs will be a great initiative for MSMEs to participate in global trade. The onus will be on private infrastructure companies to partner with government to set up enabling ecosystem. We also support the Government's focus on the East to revitalize the region into an economic hotspot. All these initiatives will open up new avenues for advancements across industries, fuelling employment and contributing to India's ambitious growth at the same time."

Anshul Singhal, Managing Director, Welspun One & Chairperson of ASSOCHAM National Council on Logistics & Warehousing

We applaud the government's push towards creating favourable living arrangements for industry workers to encourage job creation and arrest the on-going attrition in the manufacturing and allied industries. The warehousing industry is equipped and willing to provide high quality accommodation facilities with partnership with the government to the workforce that bolsters the nation's development. The investment in skill development and entrepreneurial schemes is commendable as it will allow Indian youth to specialize in world class skills and expertise inviting international giants to begin operations in the country. We hope that the government continues to improve on the ease of doing business and streamlines the regulatory environment for domestic and foreign institutional investors to participate in the booming warehousing sector."

Sandeep Chadha, Founder & CEO, Warehouser

"India's Government announced the creation of 12 new industrial parks, boosting the country's warehousing sector. This expansion caters to the booming e-commerce market and the growing need for efficient storage. The warehousing industry is expected to reach 500 million square feet by 2025, and these parks will provide much-needed high-quality space. Modern facilities with sustainable practices will improve efficiency and reduce environmental impact. Strategic locations will enhance connectivity, lowering transportation costs and improving delivery times. This translates to cost savings and happier customers for businesses. At Warehouser, we believe that this development aligns perfectly with our mission to revolutionize warehousing solutions in India. We are excited about the prospects this announcement brings and are committed to leveraging these opportunities to deliver innovative and efficient warehousing solutions to our clients."

Uday Sharma, Chief Commercial Officer, Allcargo Gati Limited

"The budget's robust initiatives for the infrastructure, skill development and MSME sector are set to transform possibilities into realities.

The Rs 26,000 crore investment in road connectivity projects, including key expansions like the Patna-Purnea expressway and new infrastructure such as the Bodhgaya-Rajgir-Vaishali-Darbhanga route, underscores a major step towards enhancing connectivity and faster transportation of goods.

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The MSME cluster initiative announced in the budget is a game-changer for our sector. By enhancing access to credit and promoting business growth, it acts as a catalyst for MSMEs, enabling them to expand operations and thrive. This initiative will not only benefit MSMEs but also have a positive ripple effect on logistics partners like us, facilitating smoother operations and enhanced service delivery to meet growing business demands effectively. The establishment of e-commerce hubs in PPP mode increases the volume and shipments from MSME Clusters and empowers traditional artisans to access global markets. Further the plans for 24 new SIDBI branches serving MSME clusters, this budget reinforces support for inclusive growth.”



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